

loss. I'll sell at the market open tomorrow. This stock did not do as I expected, so it's time to sell."

I sold at D and lost 4% in 8 days. The stock dropped, pulled back to E, and then continued lower.

As an earnings flag trade it was a dud, not because I lost money, but because the stock failed to climb after the earnings announcement formed the pennant. However, you can see that price bottomed in December and climbed to A where earnings were announced. That's a big move by the smart money before the company let everyone else in on the news. So how much was left to push the stock higher? Price gapped up and then became quicksand.

- Lesson: In this case, waiting for price to close above the top of the flagpole would have avoided the trade and the small loss.
- Lesson: If a stock does not do what you expect, then exit. Fast.

Duriron

The company was called Duriron (DURI) when I bought it, but it's now called Flowserve (FLS). Let me describe how I botched the trade in the stock. You can use me as a cautionary bedtime story for the kids: Don't try this at home.

The stock made a strong but sedate push upward that lasted over a year. Price peaked in September 1995, moved sideways for 3 months, and then dropped in a fast move down. It bounced back up to the bottom of that 3-month sideways move and formed the pennant. In other words, overhead resistance was blocking an upward move. Wish I'd recognized that at the time.

- Lesson: Look for underlying support and overhead resistance to better gauge how far price might move.

From my notebook: "14 January 1996. The stock is forming a pennant formation. The measure of this is \$4. This also happens to be on the bottom of the trend channel. I am going to buy and pray. If the pennant succeeds, this should give me about a [tidy] profit. Should I continue to hold for the